

Benjamin Rohr
Principal, Light Tower Group

Tuscan Village Shows Capital Is Betting on Experience, Not Just Rent

Four new tenants - including Whole Foods and Free People - sign at a 170-acre mixed-use development near Boston. The leasing reveals where institutional capital is flowing in 2026.

THE NEWS

Whole Foods, Free People, and Two Others Join Tuscan Village

Tuscan Village, a 170-acre mixed-use project in Salem, New Hampshire, announced four new tenants. Whole Foods Market, Free People, Sephora, and Shake Shack have signed leases. The development already includes residential, office, and hospitality components.

SIGNIFICANCE

Why This Leasing Matters for Capital Markets

Retail leasing at this scale signals lender and investor confidence. When Whole Foods and Sephora commit to a project, they bring foot traffic and credit quality. That makes the capital stack easier to structure - and refinance.

Mixed-Use Deals Need Experiential Tenants to Attract Debt

Lenders underwrite mixed-use based on cash flow diversity and tenant quality. Experiential retail like Whole Foods and Sephora provides stable, predictable rent. That lowers perceived risk and opens access to better financing terms.

THE REAL QUESTION

How Do You Make the Capital Stack Work for a 170-Acre Project?

Large mixed-use developments require patient capital and layered financing. Construction loans, permanent debt, and equity all need to align. Strong pre-leasing to credit tenants helps bridge that gap.

WHO CARES?

Three Parties Watching This Deal Closely

- * Sponsors: Validates the mixed-use model for future projects.
- * Lenders: Sees creditworthy tenants as risk mitigation.
- * Investors: Looks for cash flow stability before committing equity.

MARKET CONTEXT

This Deal Is Part of a Broader Shift Toward Placemaking

Capital is moving away from pure retail and toward destinations that combine living, working, and shopping. Tuscan Village is a textbook example. The leasing proves that experience-driven mixed-use can attract institutional financing.

What to Watch Next: Lease-Up Velocity and Refinancing

Monitor how quickly remaining retail and residential space leases up. Also watch for the first permanent loan placement or refinancing. That will tell us how the capital markets are pricing this asset class.

THE LESSON

Strong Tenants Are the Foundation of a Sound Capital Stack

In mixed-use, the quality of your tenants determines the quality of your financing. Light Tower Group helps sponsors and investors structure capital for projects like this. Connect with Benjamin Rohr to discuss your capital strategy.